

CONSOLIDATED INCOME STATEMENT

<i>(EUR millions, except for earnings per share)</i>		Notes	2024	2023	2022
Revenue	24		84,683	86,153	79,184
Cost of sales			(27,918)	(26,876)	(24,988)
Gross margin			56,765	59,277	54,196
Marketing and selling expenses			(31,002)	(30,768)	(28,151)
General and administrative expenses			(6,220)	(5,714)	(5,027)
Income/(Loss) from joint ventures and associates	8		28	7	37
Profit from recurring operations	24		19,571	22,802	21,055
Other operating income and expenses	25		(664)	(242)	(54)
Operating profit			18,907	22,560	21,001
Cost of net financial debt			(442)	(367)	(17)
Interest on lease liabilities			(510)	(393)	(254)
Other financial income and expenses			160	(175)	(617)
Net financial income/(expense)	26		(792)	(935)	(888)
Income taxes	27		(5,157)	(5,673)	(5,362)
Net profit before minority interests			12,958	15,952	14,751
Minority interests	18		(408)	(778)	(667)
Net profit, Group share			12,550	15,174	14,084
Basic Group share of net earnings per share <i>(EUR)</i>	28		25.13	30.34	28.05
Number of shares on which the calculation is based			499,412,515	500,056,586	502,120,694
Diluted Group share of net earnings per share <i>(EUR)</i>	28		25.12	30.33	28.03
Number of shares on which the calculation is based			499,681,046	500,304,316	502,480,100

CONSOLIDATED STATEMENT OF COMPREHENSIVE GAINS AND LOSSES

<i>(EUR millions)</i>	Notes	2024	2023	2022
Net profit before minority interests		12,958	15,952	14,751
Translation adjustments		1,470	(1,091)	1,303
Amounts transferred to income statement		(25)	(21)	(32)
Tax impact		-	-	(4)
	16.5, 18	1,445	(1,112)	1,267
Change in value of hedges of future foreign currency cash flows		11	477	28
Amounts transferred to income statement		(230)	(523)	290
Tax impact		50	13	(73)
		(169)	(33)	245
Change in value of the ineffective portion of hedging instruments (including cost of hedging)		(357)	(237)	(309)
Amounts transferred to income statement		253	362	340
Tax impact		26	(29)	(11)
		(78)	96	21
Gains and losses recognized in equity, transferable to income statement		1,198	(1,049)	1,534
Change in value of vineyard land	6	23	53	(72)
Amounts transferred to consolidated reserves		-	-	-
Tax impact		(2)	(11)	18
		21	41	(53)
Employee benefit obligations: Change in value resulting from actuarial gains and losses		73	30	301
Tax impact		(22)	(7)	(77)
		51	23	223
Gains and losses recognized in equity, not transferable to income statement		72	64	170
Total gains and losses recognized in equity		1,270	(985)	1,705
Comprehensive income		14,228	14,967	16,456
Minority interests		(483)	(749)	(755)
Comprehensive income, Group share		13,745	14,218	15,701

CONSOLIDATED BALANCE SHEET

Assets (EUR millions)	Notes	2024	2023	2022
Brands and other intangible assets	3	26,280	25,589	25,432
Goodwill	4	20,307	24,022	24,782
Property, plant and equipment	6	29,886	27,331	23,055
Right-of-use assets	7	16,620	15,679	14,615
Investments in joint ventures and associates	8	1,343	991	1,066
Non-current available for sale financial assets	9	1,632	1,363	1,109
Other non-current assets	10	1,106	1,017	1,186
Deferred tax		4,545	3,992	3,661
Non-current assets		101,719	99,984	94,906
Inventories and work in progress	11	23,669	22,952	20,319
Trade accounts receivable	12	4,730	4,728	4,258
Income taxes		986	533	375
Other current assets	13	8,455	7,723	7,488
Cash and cash equivalents	15	9,631	7,774	7,300
Current assets		47,471	43,710	39,740
Total assets		149,190	143,694	134,646

Liabilities and equity (EUR millions)	Notes	2024	2023	2022
Equity, Group share	16	67,517	61,017	55,111
Minority interests	18	1,770	1,684	1,493
Equity		69,287	62,701	56,604
Long-term borrowings	19	12,091	11,227	10,380
Non-current lease liabilities	7	14,860	13,810	12,776
Non-current provisions and other liabilities	20	3,856	3,880	3,902
Deferred tax		7,344	7,012	6,952
Purchase commitments for minority interests' shares	21	8,056	11,919	12,489
Non-current liabilities		46,207	47,848	46,498
Short-term borrowings	19	10,851	10,680	9,359
Current lease liabilities	7	2,972	2,728	2,632
Trade accounts payable	22	8,630	9,049	8,788
Income taxes		1,231	1,148	1,211
Current provisions and other liabilities	22	10,012	9,540	9,553
Current liabilities		33,696	33,145	31,543
Total liabilities and equity		149,190	143,694	134,646

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

(EUR millions)	Number of shares	Share capital	Share premium account	Treasury shares	Cumulative translation adjustment	Revaluation reserves				Net profit and other reserves	Total equity		
						Available for sale financial assets	Hedges of future foreign currency cash flows and cost of hedging	Vineyard land	Employee benefit commitments		Group share	Minority interests	Total
Notes		16.2	16.2	16.3	16.5							18	
As of December 31, 2021	504,757,339	152	2,225	(912)	1,380	-	(239)	1,167	(53)	43,399	47,119	1,790	48,909
Gains and losses recognized in equity					1,206		249	(43)	204		1,617	88	1,705
Net profit										14,084	14,084	667	14,751
Comprehensive income		-	-	-	1,206	-	249	(43)	204	14,084	15,701	755	16,456
Bonus share plan-related expenses										127	127	5	132
(Acquisition)/Disposal of LVMH shares				(1,316)						(54)	(1,370)	-	(1,370)
Retirement of LVMH shares	(1,500,000)		(936)	936							-	-	-
Capital increase in subsidiaries											-	28	28
Interim and final dividends paid										(6,024)	(6,024)	(382)	(6,406)
Changes in control of consolidated entities										7	7	6	13
Acquisition and disposal of minority interests' shares										(48)	(48)	(138)	(186)
Purchase commitments for minority interests' shares										(399)	(399)	(571)	(970)
As of December 31, 2022	503,257,339	151	1,289	(1,293)	2,586	-	9	1,125	151	51,092	55,111	1,493	56,604
Gains and losses recognized in equity					(1,062)		57	31	18		(956)	(29)	(985)
Net profit										15,174	15,174	778	15,952
Comprehensive income		-	-	-	(1,062)	-	57	31	18	15,174	14,218	749	14,967
Bonus share plan-related expenses										113	113	4	117
(Acquisition)/Disposal of LVMH shares				(1,420)						(122)	(1,542)	-	(1,542)
Retirement of LVMH shares	(1,208,939)		(759)	759							-	-	-
Capital increase in subsidiaries											-	19	19
Interim and final dividends paid										(6,251)	(6,251)	(513)	(6,764)
Changes in control of consolidated entities											-	10	10
Acquisition and disposal of minority interests' shares										(38)	(38)	(4)	(42)
Purchase commitments for minority interests' shares										(594)	(594)	(74)	(668)
As of December 31, 2023	502,048,400	151	530	(1,953)	1,525	-	66	1,156	170	59,373	61,017	1,684	62,701
Gains and losses recognized in equity					1,357		(228)	17	49		1,195	75	1,270
Net profit										12,550	12,550	408	12,958
Comprehensive income		-	-	-	1,357	-	(228)	17	49	12,550	13,745	483	14,228
Expenses related to bonus share and similar plans										187	187	4	191
(Acquisition)/Disposal of LVMH shares				(235)						(56)	(292)	-	(292)
Capital increase reserved for employees	200,000		53								53	-	53
Retirement of LVMH shares	(1,906,700)	(1)	(530)	1,585						(1,054)	-	-	-
Capital increase in subsidiaries											-	33	33
Interim and final dividends paid										(6,492)	(6,492)	(556)	(7,048)
Changes in control of consolidated entities											-	111	111
Acquisition and disposal of minority interests' shares										(237)	(237)	131	(106)
Purchase commitments for minority interests' shares										(465)	(465)	(120)	(585)
As of December 31, 2024	500,341,700	150	53	(603)	2,881	-	(161)	1,173	218	63,806	67,517	1,770	69,287

CONSOLIDATED CASH FLOW STATEMENT

<i>(EUR millions)</i>	Notes	2024	2023	2022
I. OPERATING ACTIVITIES				
Operating profit		18,907	22,560	21,001
(Income)/Loss and dividends received from joint ventures and associates	8	29	42	26
Net increase in depreciation, amortization and provisions		4,568	4,146	3,219
Depreciation of right-of-use assets	7.1	3,228	3,031	3,007
Other adjustments and computed expenses		488	(259)	(483)
Cash from operations before changes in working capital		27,220	29,520	26,770
Cost of net financial debt: interest paid		(357)	(457)	(74)
Lease liabilities: interest paid		(483)	(356)	(240)
Tax paid		(5,531)	(5,730)	(5,604)
Change in working capital	15.2	(1,925)	(4,577)	(3,019)
Net cash from/(used in) operating activities		18,924	18,400	17,833
II. INVESTING ACTIVITIES				
Operating investments	15.3	(5,531)	(7,478)	(4,969)
Purchase and proceeds from sale of consolidated investments	2	(438)	(721)	(809)
Dividends received		9	5	7
Tax paid related to non-current available for sale financial assets and consolidated investments		-	-	-
Purchase and proceeds from sale of non-current available for sale financial assets	9	(579)	(116)	(149)
Net cash from/(used in) investing activities		(6,539)	(8,310)	(5,920)
III. FINANCING ACTIVITIES				
Interim and final dividends paid	15.4	(7,322)	(7,159)	(6,774)
Purchase and proceeds from sale of minority interests		(173)	(17)	(351)
Other equity-related transactions	15.4	(224)	(1,569)	(1,604)
Proceeds from borrowings	19	3,595	5,990	3,774
Repayment of borrowings	19	(3,676)	(3,968)	(3,891)
Repayment of lease liabilities	7.2	(2,915)	(2,818)	(2,751)
Purchase and proceeds from sale of current available for sale financial assets	14	(1)	144	(1,088)
Net cash from/(used in) financing activities		(10,716)	(9,397)	(12,685)
IV. EFFECT OF EXCHANGE RATE CHANGES		80	(273)	55
NET INCREASE/(DECREASE) IN CASH AND CASH EQUIVALENTS (I+II+III+IV)		1,749	420	(717)
CASH AND CASH EQUIVALENTS AT BEGINNING OF PERIOD	15.1	7,520	7,100	7,817
CASH AND CASH EQUIVALENTS AT END OF PERIOD	15.1	9,269	7,520	7,100
TOTAL TAX PAID		(5,790)	(6,106)	(5,933)

Alternative performance measure

The following table presents the reconciliation between “Net cash from operating activities” and “Operating free cash flow” for the fiscal years presented:

<i>(EUR millions)</i>	2024	2023	2022
Net cash from operating activities	18,924	18,400	17,833
Operating investments	(5,531)	(7,478)	(4,969)
Repayment of lease liabilities	(2,915)	(2,818)	(2,751)
Operating free cash flow^(a)	10,478	8,104	10,113

(a) Under IFRS 16, fixed lease payments are treated partly as interest payments and partly as principal repayments. For its own operational management purposes, the Group treats all lease payments as components of its “Operating free cash flow”, whether the lease payments made are fixed or variable. In addition, for its own operational management purposes, the Group treats operating investments as components of its “Operating free cash flow”.